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Case Number: 25STCV23085 Hearing Date: September 24, 2026 Dept: 509

Brianda Camacho, et al. v. Haifa Eshtiaghpour, et al.

MOTION TO SET ASIDE DEFAULT

MOVING PARTY: Defendants Royalty 26, Inc., and DLucky, Inc.

RESPONDING PARTY(S): Plaintiffs Brianda Camacho, Luis Camacho Rodriguez, Luis Camacho, Saray Camacho, and Emma Victory Camacho

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On August 5, 2025, plaintiffs Brianda Camacho, Luis Camacho Rodriguez, Luis Camacho, Saray Camacho, and Emma Victory Camacho (Plaintiffs) filed a complaint for a single cause of action for fraudulent conveyance against defendants Haifa Eshtiaghpour, Royalty 26, Inc., and DLucky, Inc. (collectively, Defendants). Plaintiffs obtained a monetary judgment against defendant Royalty 26, Inc. in a previous action (Brianda Camacho, et al. v. Royalty 26 Inc., LASC Case No. 24STCV22906.). Plaintiffs now allege that defendant Royalty 26, Inc., an alter ego of Haifa Eshtiaghpour, transferred two properties to defendant DLucky, Inc. without consideration to avoid collection of the judgment

On May 4, 2026, Defendants' counsel motion to be relieved was granted. (See 5/4/26 Minute Order.) In that hearing, the Court set an Order to Show Cause Re: Striking Answer of the Corporate Defendants for Failure to Appear with Legal Counsel for June 3, 2026. (Ibid.)

On June 3, 2026, Defendants, including corporate defendants Royalty 26, Inc., and DLucky, Inc. (Corporate Defendants) failed to appear. Corporate Defendants' answers were stricken and their default was entered.

On August 12, 2026, Corporate Defendants moved to set aside the default. Plaintiffs opposed.

TENTATIVE RULING

Corporate Defendant's Motion to Set Aside Default is DENIED.

Plaintiffs to give notice.

DISCUSSION

Motion to Set Aside Default

I. Analysis

A. Motion to Set Aside Default

Corporate Defendants now moves to set aside the default entered against them on June 3, 2026, under Code Civil Procedure section 473(b).

“Section 473, subdivision (b) provides for two distinct types of relief...Under the mandatory relief provision, on the other hand, upon a showing by attorney declaration of ‘mistake, inadvertence, surprise, or neglect,’ the court shall vacate any ‘resulting default judgment or dismissal entered.’” (Leader v. Health Indus. of Am., Inc. (2001) 89 Cal.App.4th 603, 615–16.) Here, Corporate Defendants do not request mandatory relief for good reason: Their attorneys did not do anything which supports such mandatory relief.

Instead, under the discretionary provisions of section 473(b), the court “may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” (Code Civ. Pro. § 473, subd. (b).) To obtain relief under this provision, the application for relief must be made “within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding.” (Ibid.) This Court is mindful of the policy favoring relief from default where there is no prejudice to the opposing party. (See Even Zohar Constr. & Remodeling, Inc. v. Bellaire Townhouses, LLC, (2015) 61 Cal. 4th 830, 839 [“The general underlying purpose of section 473(b) is to promote the determination of actions on their merits”]; see also Austin v. Los Angeles Unified Sch. Dist. (2016) 244 Cal. App. 4th 918, 929 [“[b]ecause the law favors disposing of cases on their merits, ‘any doubts in applying section 473 must be resolved in favor of the party seeking relief from default [citations].’”].)

However, here, discretionary relief is also improper as the default was not entered as a result of “mistake, inadvertence, surprise, or excusable neglect” of the Corporate Defendants. Instead, Corporate Defendants admit they were given proper notice and “DLucky and Royalty 26 do not contend otherwise.” (Reply at p. 3:5-6.) “The relevant neglect is therefore not ignorance of the June 3 date - it is the difficulty two corporations faced in retaining replacement counsel willing to step into a case on the eve of default.” (Id. at p. 3:8-10.) However, Corporate Defendants were given reasonable time to obtain counsel and failed to do. This does not demonstrate a mistake, inadvertence, surprise, or excusable neglect.

In their motion, Corporate Defendants acknowledge that a corporation may not appear in court without being represented by a licensed attorney. Corporate Defendants suggests, however, that this Court should view this deficiency as a curable defect. They cite CLD Construction, Inc. v. City of San Ramon (2004) 120 Cal.App.4th 1141 (CLD), where the appellate court reversed an order striking a corporation’s complaint under section 436. The corporation had filed the complaint in propria persona, but it had obtained counsel by the time the defendant city moved to strike the complaint. The Court of Appeal held that it was “more appropriate and just to treat a corporation’s failure to be represented by an attorney as a defect that may be corrected, on such terms as are just in the sound discretion of the court.” (CLD, supra, at p. 1149.) Because the parties were at the threshold of the lawsuit, no prejudice to the defendant could have occurred. Most notably, because CLD had retained counsel before the city appeared, its initial self-representation was “minimal, and essentially inconsequential. For all practical purposes CLD was represented by counsel before the City became a player in the action, so neither the City nor the trial court was ever in the position of having to deal with a nonattorney corporate representative.” (Id. at p. 1150.) Indeed, the record indicated to the appellate court that the substitution might have taken place even before the defendant was served. Thus, the court held, just as courts arrange for counsel when minors have attempted to represent themselves in court, a corporation “should not be foreclosed from going forward with its legal right to sue because of a defective complaint that can

be readily and easily cured without prejudice to either its opponent or the court.” (Id. at p. 1152.)

However, CLD does not help Corporate Defendants. Unlike in CLD, Corporate Defendants here seek relief from this obligation just a month before trial. This motion is not beginning the lawsuit but rather attempting to relieve Corporate Defendants of its failure to obtain counsel on the eve of trial. Indeed, coupled with the actions of Corporate Defendants’ representatives, Ms. Eshtiaghpour and Mr. Daravi, (as discussed below), the Plaintiffs here have been impacted by Corporate Defendants’ failure to obtain counsel. This is not a scenario, like CLD, where the impact of the relief results in minimal disruption to the action. Corporate Defendants effectively abandoned their duties with respect to this lawsuit until it became clear that judgment was imminent.

Finally, even if the Court was persuaded that relief was proper under the circumstances, Corporate Defendants’ actions in this matter have made any relief on “terms as may be just” impractical. (Code Civ. Pro. §473, subd. (b).) For example, Corporate Defendants have not complied with discovery in this matter. (Hermansen Decl. ¶15.) Instead, during Corporate Defendants’ default, Royalty 26’s director, Ms. Eshtiaghpour, twice failed to appear for depositions despite actual notice given to her and DLucky’s director Mr. Daravi. (Id. at ¶¶10-15.) It appears Corporate Defendants have disregarded compliance with discovery from the onset of this action. Now, on the eve of trial, there appears to be no just terms to allow Corporate Defendants to proceed in this action that would not result in an unjust windfall at the expense of the Plaintiffs. To that end, Corporate Defendants argue that the Court “may condition relief on an expedited discovery schedule, payment of reasonable costs directly attributable to the defaults, compliance by fixed dates, or other case-management terms.” (Opp. at p. 4:19-21.) However, Corporate Defendants fail to sufficiently suggest, and this Court does not find any terms that are just under the totality of the circumstances.

Accordingly, Corporate Defendants’ Motion to Set Aside Default is DENIED.

IT IS SO ORDERED.

Dated: September 24, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at SMCDept509@lacourt.ca.gov by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.